



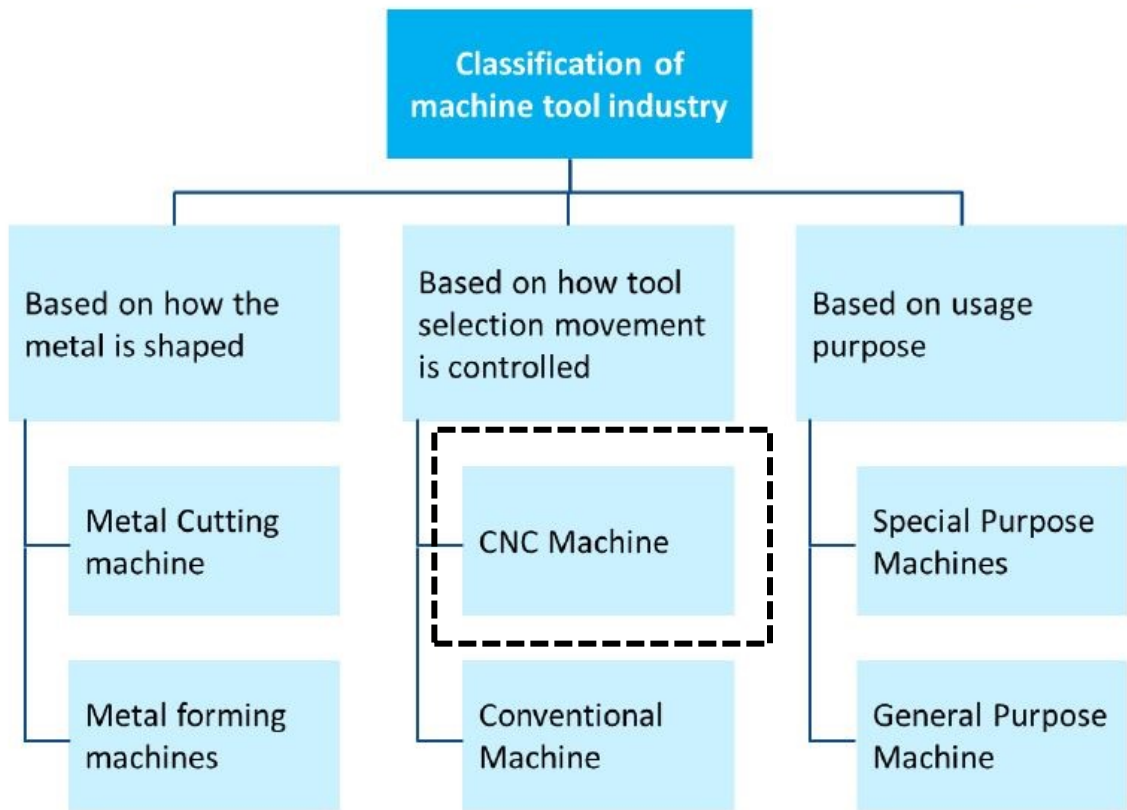
INITIATING COVERAGE

2024-2025

By Devarsh Shah

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Industry Overview:



Machine Tool Industry Overview: Machine tools are used to cut and shape metals and other materials based on the specifications of a product. They provide an effective and efficient method of manufacturing critical components with ease and accuracy.

Machine tools can be broadly classified by three ways on basis of how the workpiece is being shaped, how the tool is operated and based on the usage as follows.

CNC Machining Centers Overview: CNC machining centers are advanced tools that can perform multiple operations like drilling, milling, and lathing with high precision, using computer-controlled instructions (G-code and M-code). There are three main types:

- 1. Vertical Machining Center (VMC):**
- a. Spindle is vertical, suitable for high-accuracy tasks.
 - b. Commonly used for cutting, milling, boring, and engraving in industries like aerospace, automotive, and electronics.

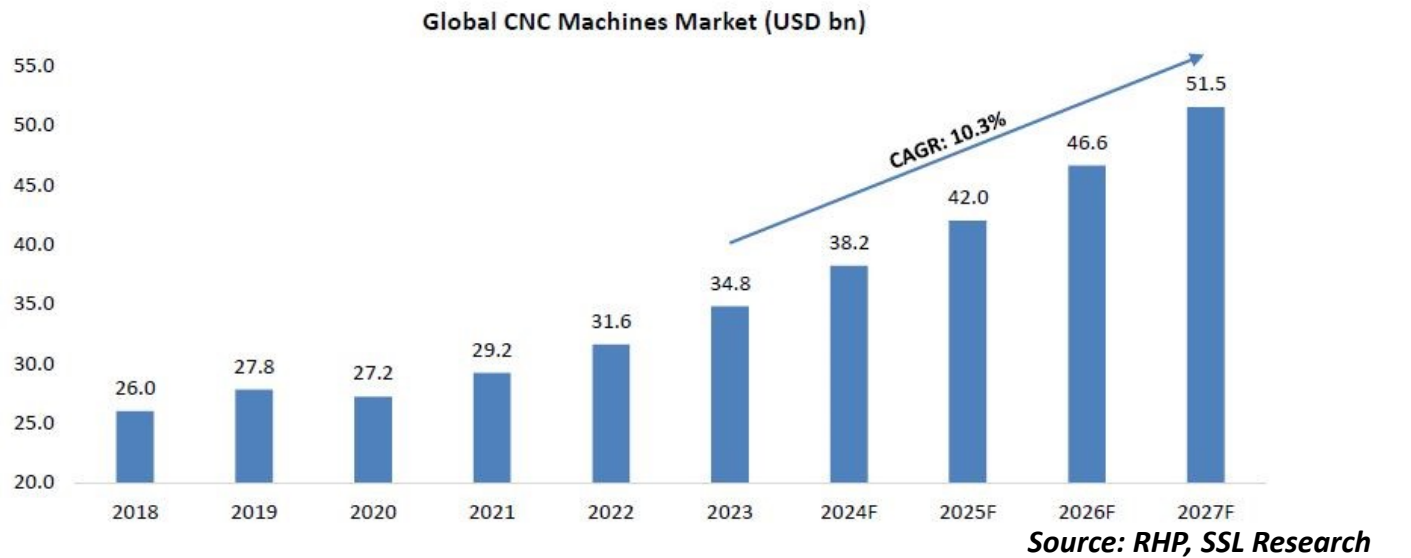
2. Horizontal Machining Center (HMC):

- a. Spindle is horizontal, which helps clear chips easily and allows continuous production.
- b. Ideal for large-scale production with a two-pallet system for efficiency.
- c. Used in aerospace, automotive, and metal fabrication industries.

3. Universal Machining Center (UMC):

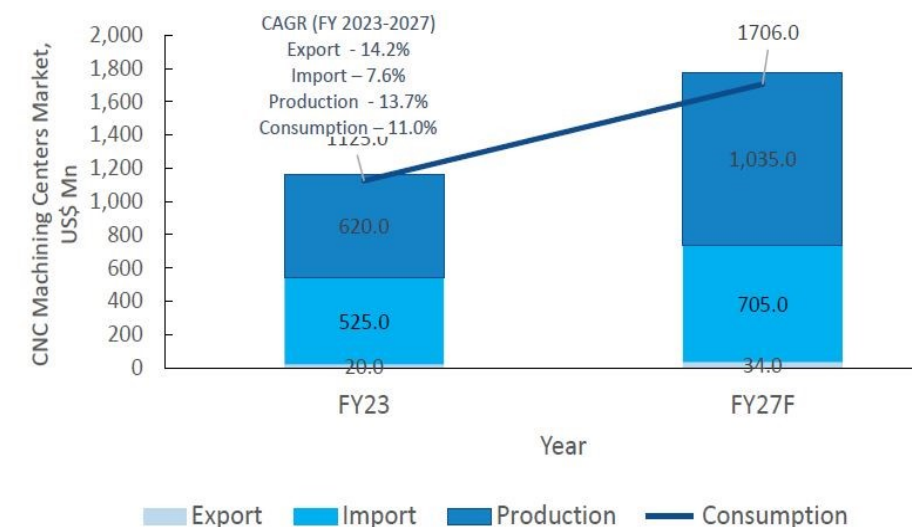
- a. Similar to HMC but can tilt the spindle between horizontal and vertical positions.
- b. Allows machining of different sides of the workpiece in one setup.
- c. Used in die and mold making, aerospace, and automotive industries.

Global CNC Machines Market



The global CNC machining centers market was valued at ~\$31.6 bn in 2022 and is expected to reach ~\$51.5 bn by 2027, **growing at a 10.3% CAGR**. This growth is mainly driven by automotive and heavy industries adopting automation due to rising labor costs, limited working hours, and skilled labor shortages, increasing the demand for automated precision machines.

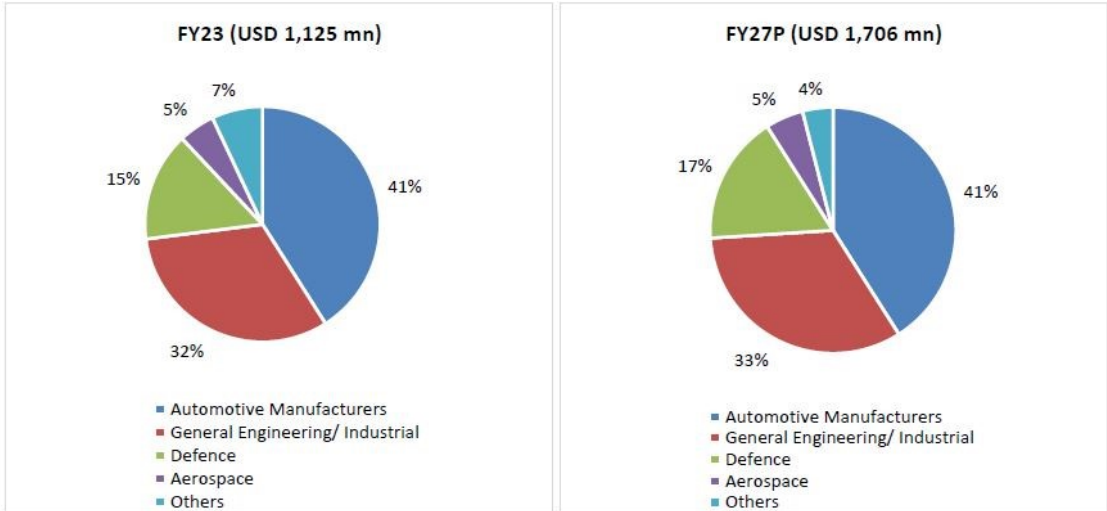
India's CNC Machines Market



The CNC machine industry is growing due to demand from sectors like automobiles and aerospace. Over 50% of CNC machines in India are imported, with 80% used for metal cutting. Imports come mainly from Japan and Germany (45% of total imports).

India's CNC Machines Market

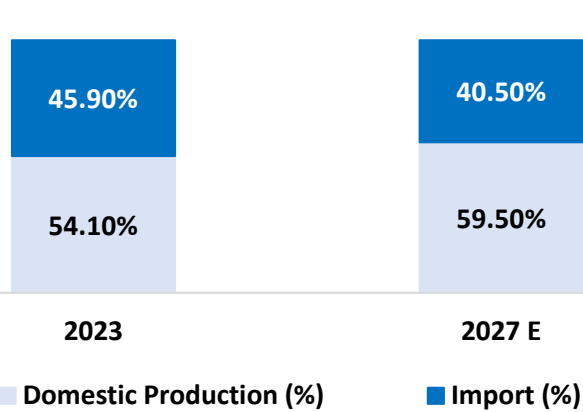
The high imports are due to a shortage of specialized machines in India, as local manufacturers focus on basic machines. More than 60% of Indian-made CNC machines are used in the automotive industry, leaving other sectors reliant on imports.



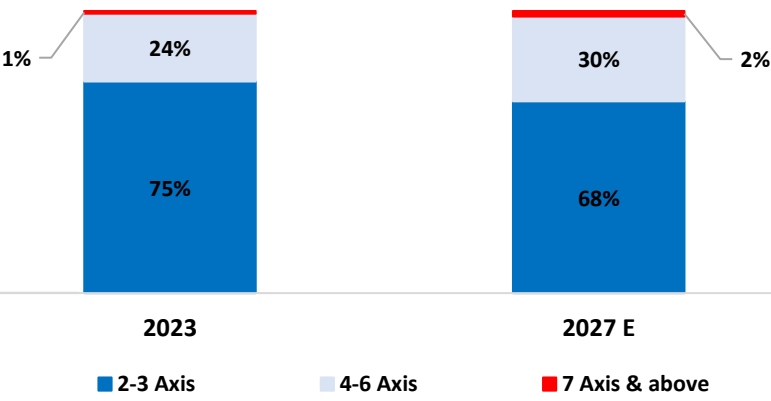
Increased demand for highly productive, automated CNC machines has come from the growth of the Indian manufacturing industry. The demand for sophisticated components is increasing in industries such as automotive, agriculture, defense, general engineering, aerospace, and others. **(CAGR: +11% from FY 23 to FY 27E)**

- India ranks 9th in machine tool production and 7th in consumption globally, with demand growing from ₹12,000 cr in FY17 to ₹24,000 cr in FY23, while domestic production covers 40-50% of this demand.
- Government initiatives like "Make in India" and "China+1" are driving growth, with the machine tool industry needing to expand to ₹45,000-50,000 cr over the next decade to support increased manufacturing output.

Indian CNC Consumption Share



Indian CNC Market Split by n-Axis



Macpower CNC Ltd Overview:

Macpower CNC Machines Limited, founded in 2003, is a leading Indian manufacturer of CNC machines, operating from a state-of-the-art facility in Rajkot, Gujarat, with a **production capacity of 2,000 machines annually**. Their product range includes 27 series and over 315 models, such as Turning Centers, VMCs, HMCs, and specialized machines. The **premium Nexa division focuses on high-value CNC machines, targeting corporate clients with advanced automation needs**.

Macpower has **backward integration to produce 85% of its machine components in-house**, reducing costs related to transportation and outsourcing. This includes state-of-the-art mother machines, advanced measuring tools, high-end software for precision, and an in-house **powder coating plant and fabrication shop**.

The company has signed **an MoU with the Gujarat government** to establish a new facility dedicated to manufacturing CNC machines for the aerospace and defense sectors. With 850 employees, 195 engineers, and a strong network in 39 cities, Macpower is set for continued growth through innovation and customer focus.



In today's competitive market, you need robust CNC turning centers with uncompromised performance and specifications to produce world class products quickly, accurately and with minimum non productive time.



Our new generation Vertical Machining Centers incorporate a wide range of enhancements and sophisticated engineering knowledge that enables us to deliver optimized solutions with optimal performance



The rush in requirement for high technological products has provided a great chance for the development of Horizontal Machining Centers. We have developed different sizes to meet the rising demand for machines delivering higher outputs



"Double the production for similar job". Simultaneous machining on two spindles enhances efficiency and lowers the cost per part for high-volume production. It enhances throughput, reduced energy consumption and maximized floor space.



In demanding times of machining accuracy and productivity, Macpower has addressed both the issues, reducing idle time resulting in cumulative productivity with lesser manpower offering customers gain higher margins.



Combination of high power performance and excellent unyielding construction, designed to operate in medium and high production environments. It is equipped with robust structure design to ensure rigidity, stability, accuracy and flexibility for the machining of chucking parts.

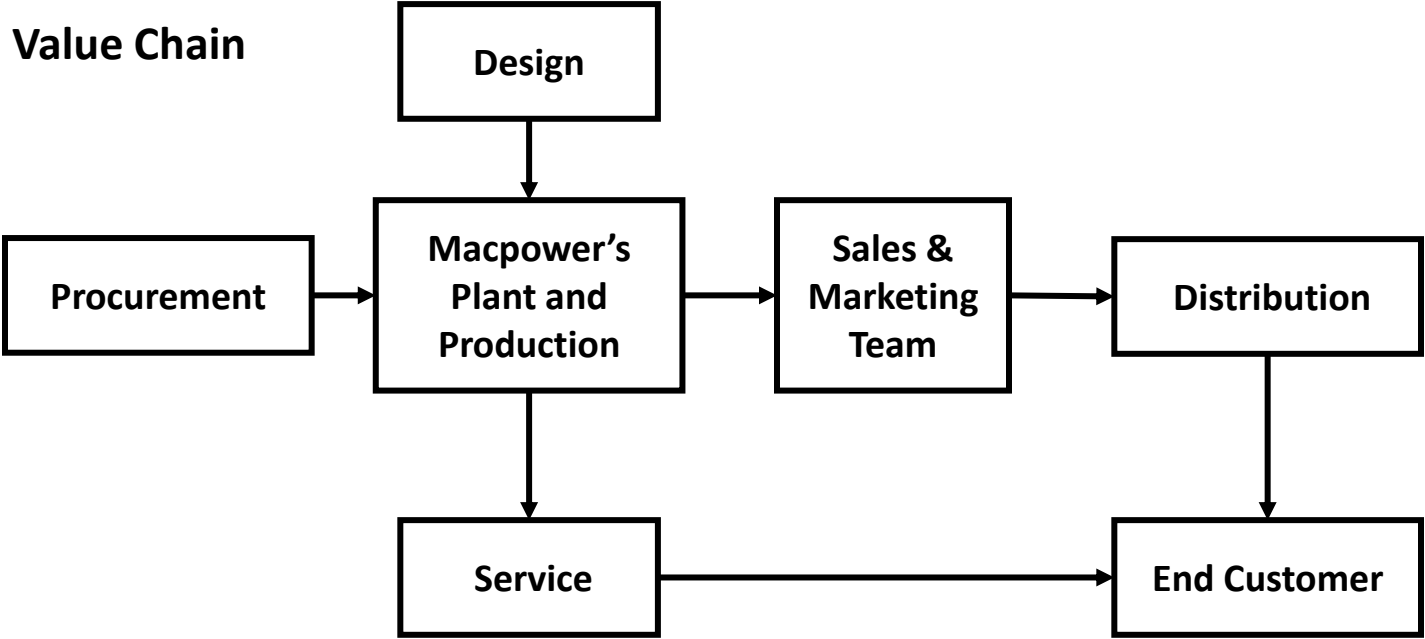


Designed specifically for drill tap application along with total tapping milling capabilities. These machines are compact and powerful, built with optimally designed structure to take care of cutting forces and are equipped with automatic tool changers.



In today's competitive market, you need robust Double column machine with uncompromised performance and specifications to produce world class products quickly accurately and with minimum nonproductive time

Value Chain



Design:

- Macpower designs a wide range of CNC machines across industry segments. The company invests in R&D to develop innovative machines and adopt new technologies. The design team includes 15 engineers, led by a president with 40 years of experience, using advanced tools like Pro Engineer 3-D Modeling and FEA.
- Macpower is setting up a new R&D center in Bangalore, scheduled to be operational in Q2 FY25, to enhance design capabilities.

Procurement:

- Macpower procures high-precision parts for its manufacturing, keeping over 15,000 components in stock to ensure a 3–4 month inventory buffer.
- They focus on backward integration by manufacturing key components in-house and source other parts from trusted suppliers in Taiwan, Germany, Japan, and Italy to maintain quality and reduce supply chain risks.

Import Data			
Company Name	Location	Products Terms	HSN Code
HIWIN TECHNOLOGIES CORP.	Taiwan	Bearing Assy, Ball Bearing, Slide Bearing, Spherical Plain Bearing, Air Conditioner, Bearing Block, Bearing Holder, Bearing Part	8486, 8483, 8482
ROYAL PRECISION TOOLS CORPORATION	Taiwan	Drilling Spindle, Milling Chuck, Power Chuck, Power Drawbar, Retention Knob, Spindle, Collet, Adapter HSK, Angle Head, Arm Mach, Base Assembly	8486, 8483, 8482
PRECISION MOTION INDUSTRIES, INC.	Taiwan	Ball Bearing, Bearing Assy, Bearing Cover, Plain Bearing, Gear and Bearing, Adapter HSK, Air Conditioner, Angular Contact Ball Bearing	8483, 8486, 8482
THK CO., LTD.	Cambodia	Ball Bearing, Registration Gear, Slewing Gear, A Gear and Bearing, Adapter HSK, Angle Head, Angular Contact Ball Bearing, Axial Deep Groove Ball Bearing, Base Assembly, Bearing Block	8482, 8483, 8486

Production:

Macpower’s manufacturing plant in Rajkot has two units with advanced facilities, including a machine shop, assembly area, spindle assembly, sheet metal, and powder coating areas. They have expanded their production capacity to 2,000 machines per year.

Sales & Marketing:

- Macpower targets the domestic market with a strong presence in 39 cities, utilizing a network of sales engineers and business associates. They also market high-value machines through the dedicated NEXA group.
- Repeat orders account for 50%-55% of total sales, supported by flexible payment terms requiring 10%-40% advances, based on the machine and customer profile. Macpower is also pursuing new industry segments and markets.

Distribution:

- Machines are dispatched from the Rajkot facility to customers across India. While Macpower’s main focus is on domestic sales, machines are dispatched from the Rajkot facility across India. Some exports come from the website and also exports to countries like Thailand, Russia, Turkey, UAE, USA, and the UK.
- The company is expanding its distribution network by increasing service coverage in more cities and adding more qualified engineers and business associates to boost their reach.

Buyer	Product	Origin	Macpower Export Buyer List
M/S Nigeria Machine Tools Limited	Vertical Machining Center Model: V1377 Controller : Fanuc Oi MF Plus with standard scope of supply	India	
India	Parts >> Spare Parts Gripper Arm Spare Parts / Accessories / Component / Assembly CD 250	India	Ismat Seals
Nigeria Machine Tools	Vertical >> Vertical Machining Center Model: V1888 Controller : Fanuc Oi MF with standard scope of supply	India	Nigeria Machine Tools
India	Machine >> Machine Chip Free Sample for CNC Machine: Chip	India	Hinkell CNC Limited

Service:

- Macpower offers prompt after-sales support with a team of skilled engineers for maintenance and repair, ensuring quick resolutions to customer issues.
- The company focuses on producing reliable machines to reduce after-sales service needs, viewing high service revenue as a sign of poor machine performance, which could damage their reputation and discourage repeat orders.



Financials:

Particulars	FY 22	FY 23	FY 24	Trend	CAGR
Revenue from Operation	190	202	241		13%
yoy change in %		6%	19%		

Revenue Split bt quarters	Q1	Q2	Q3	Q4	Total
FY 2022	18%	28%	25%	29%	100%
FY 2023	20%	26%	26%	27%	100%
FY 2024	17%	26%	27%	30%	100%

Macpower operates in the capital goods industry, which follows a cyclical pattern where Q1 generally experiences lower sales, as noted by management and consistent across the industry.

This slowdown occurs because companies typically delay capital expenditures, such as purchasing CNC machines, while they focus on finalizing financial statements and budgets. Sales usually recover in Q2, and Q4 tends to be the strongest quarter due to increased capital spending once financial decisions are in place. This trend reflects the broader cyclical nature of the capital goods sector.

PRODUCT WISE PERFORMANCE	FY 22	FY 23	FY 24
CNC	128	128	157
VMC	54	69	78
VTL	1	1	3
HMC	3	1	0
HASSM	1	0	0
Total	186	198	237

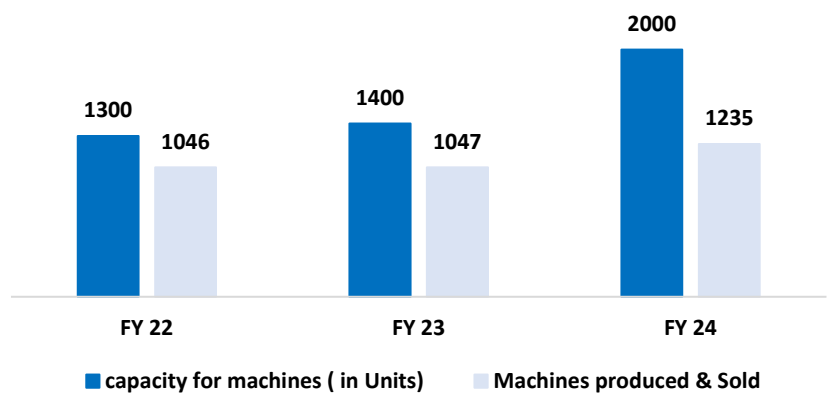
YOY Change in %	FY 22	FY 23	FY 24	CAGR
CNC		0%	23%	11%
VMC		29%	13%	21%
VTL		14%	282%	109%

CNC: (66% of FY 24 Revenue): Macpower offers a range of CNC machines starting from around ₹18-20 lakhs, depending on the complexity and specifications like drilling, cutting, and shaping metal or other materials.

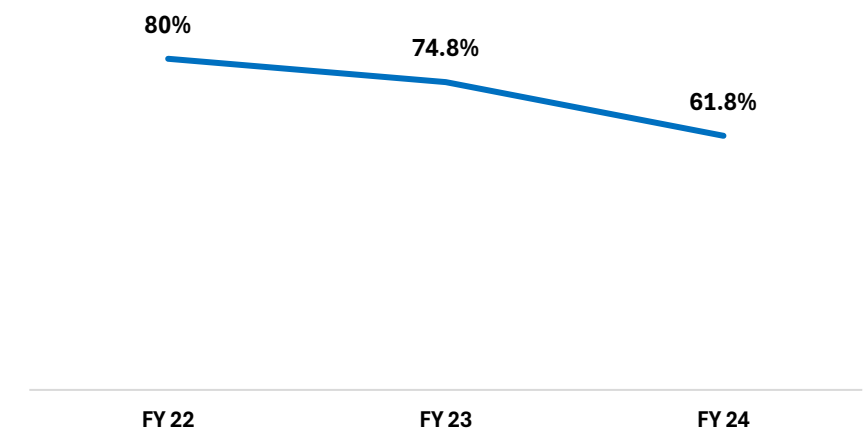
VMC: (33% of FY 24 Revenue): Vertical Machining Center VMC machines are a type of CNC where the spindle operates vertically. They are ideal for tasks like milling, drilling, and tapping. Macpower's VMCs, such as the Pro 700 V, are well-regarded for their precision and efficiency, with prices typically ranging between ₹25 lakhs and ₹50 lakhs.

VTL: (1% of FY 24 Revenue): A VTL is a CNC lathe with a vertical orientation, suited for machining large, heavy workpieces. Macpower's VTX series,Macpower’s VTL machines are priced around ₹50lakhs-₹1.5 cr. or higher, depending on the model and its capabilities

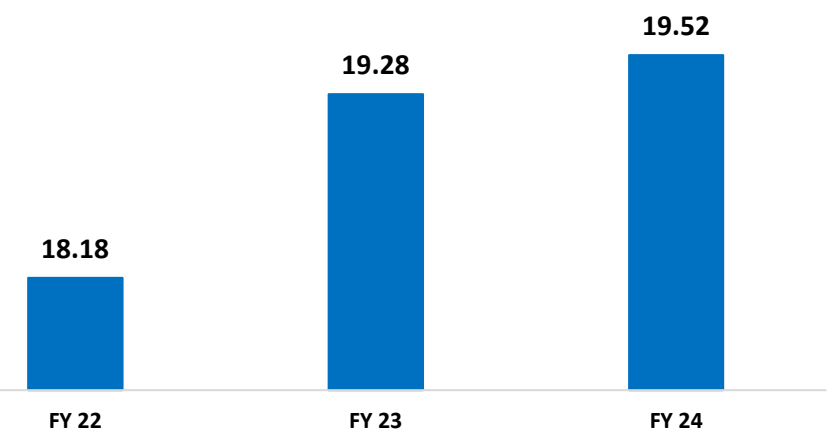
Machine Capacity



Utilization in (%)



Realization (₹ Lakhs/ machine)



Growth Driver

Capacity Expansion and High-Value Machines:

- Macpower expanded production from 1000-1200 machines (FY 2022) to 2000 machines as of now, with plans for 500 more by early FY25.
- Like global CNC firms, they're shifting to premium machines (VTLs, HMCs, high-end VMCs). NEXA brand contributed 27% to the order book as of June 2024.

Import Substitution and Government Support:

- Global CNC firms benefit from government policies promoting domestic manufacturing, like India's "Make in India" and PLI schemes. "MOU" with Guj. Govt.
- Macpower is developing products to replace imports and strengthen its domestic market position.

Strategic Partnerships and International Expansion:

- Macpower, explore partnerships for technology. Macpower is in talks for a **joint venture**. Plans to start export operations in Q3 FY25, with revenues expected from FY26.

Cost-Effective Manufacturing:

- CNC firms focus on lean manufacturing and backward integration for cost efficiency and competitive pricing. Macpower's process optimizations align with this trend.

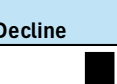
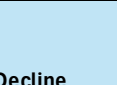
Technological Advancements:

- Innovation like automation and IOT are key drivers of demand for advanced CNC machines globally.

End-User Industry Growth:

- Growth in sectors like automotive and aerospace is boosting CNC demand, with similar trends seen globally.

Return Matrix:

Particulars	FY 22	FY 23	FY 24	CAGR	Trend	Reason
Revenue from Operation	190	202	241	13%		Company has a really good Rev growth. Company did R&D and provide good price and service plus govt. policy helps overall Industry
yoy change in %		6%	19%			
COGS	133	141	163	11%		
as a % of Rev.	70%	70%	68%		Decline	Company did the backward integration that help them both on cost, focus on value-added Product quality of Raw material discuss many times in Con-call
Gross Profit	57	61	78	17%		
Grosss Profit Margin	30%	30%	32%			
EMPLOYEE BENEFIT EXPENSES	18	21	23	14%		
as a % of Rev.	9%	10%	10%		Bit Increased	From past few company did more hiring spree. Create the New HR Department. Give more perks plus Train them. Discuss in Con-call by Rupesh Meht
OTHER EXPENSES	19	20	20	2%		
as a % of Rev.	10%	10%	8%		Decline	Due to Back ward Integration Job work, Brokerage and commision get lower plus company also put solar plant 80-90% Power requirement is now done by solar
EBITDA	21	21	35	31%		Company get the operating levrage
yoy change in %		1%	71%			
EBITDA MARGIN	11%	10%	15%			Due to Op. lev. Margin expansion happen
Depreciation and amortisatio	3	3	4	22%		
as a % of Rev.	1%	2%	2%		Increased	Company increased their capacity and new addition of asset result into this up trend.
EBIT	18	17	31	33%		
yoy change in %		-2%	80%			
EBIT MARGIN	9%	9%	13%			
FINANCE COST	0.2	0.2	0.3	29%		
as a % of Rev.	0%	0%	0%		Neglible Fin. Cost	
Other Income	0.8	0.3	1.5			
as a % of Rev.	0.4%	0.1%	0.6%			
Profit Before Tax	18	17	32			
PBT Margin	10%	9%	13%			
Effective tax rate (%)	30%	26%	25%			
NET PROFIT	13	13	24	37%		
yoy change in %		1%	88%			
NET PROFIT MARGIN	7%	6%	10%			

Return Matrix:

Du Pont ROE	FY 22	FY 23	FY 24
ROE	15%	13%	20%
Net profit margin	6.75%	6.39%	10.06%
Asset Turnover	1.33	1.45	1.34
Financial Leverage	1.69	1.44	1.51
DU PONT ROA	8.96%	9.25%	13.46%
Net profit margin	6.75%	6.39%	10.06%
Asset Turnover	1.33	1.45	1.34

- The company has a higher Return on Equity (FY24: 20%), and when we look at the trend, it has increased. The main reason for this is the net profit margin, which was 6.75% in FY22 and increased to 10.06% in FY24.
- The same trend is seen for Return on Asset Turnover, which increased from 8.96% in FY22 to 13.46% in FY24.

Efficiency Ratios	FY 22	FY 23	FY 24
Total Asset Turnover	1.33	1.45	1.34
Fixed Asset Turnover	4.80	4.69	5.17

- Total Asset Turnover was in line with the trend, from FY22: 1.33 to FY24: 1.34.
- However, Fixed Asset Turnover increased from 4.8 in FY22 to 5.17 in FY24, showing that the company is becoming more efficient in using its core assets. If the trend remains the same, we could see ROIC expansion in the future

Capital Allocation Ratios	FY 22	FY 23	FY 24
ROCE	15%	13%	20%
NOPAT Margin	7%	6%	10%
Sales/Capital Employed	2.24	2.08	2.02
ROIC	15%	13%	20%

- The company is performing really well in both ROCE and ROIC, which have increased from their levels in FY22. The main reason for this is the increase in NOPAT, along with NOPAT margin expansion.

Leverage Ratios	FY 22	FY 23	FY 24
D/E	0.00	0.00	0.00
Int Coverage Ratio	118.07	73.76	124.67

- The company has no debt (D/E: 0, which is good) on the books, and it funded all expansion through internal accruals. Additionally, the company has an interest coverage ratio of 124 in FY24, which is also positive.

Return Matrix:

Working Capital	FY 22	FY 23	FY 24
Days of Payable	79	51	66
Days of Receivables	11	23	33
Day of Inventory	145	128	137
Cash Conversion Cycle	77	101	104

The cash conversion cycle increased from 77 days in FY22 to 104 days in FY24.

Inventory: Macpower CNC maintains a large inventory to support the production of its 300+ machine variants. The company targets an inventory level of over 15,000 components, usually holding 4-5 months’ worth of stock to avoid production disruptions due to component shortages.

Receivables: Macpower CNC generally does not offer credit to its customers. Machines are typically shipped only after payment is received. In certain cases, credit is extended for 15-20 days to customers who operate 10-15 of its machines regularly.

Payables: Macpower CNC buys materials on credit and sells on a cash basis, enabling the company to maintain positive cash flow.

Accural to Cash	FY 22	FY 23	FY 24	Trend
CFO/ EBITDA	-6%	45%	70%	
FCF	3.29	-2.44	5.89	

CFO/EBITDA Ratio: has been increasing, indicating that accrual profits are now being converted into real cash, which is a positive sign.

Free Cash Flow (FCF):Over the last three years, the company has been FCF positive for two of those years while company did **Capital Expenditure** they company invested in fixed assets with purchases of ₹5 crore, ₹7 crore, and ₹11 crore in FY22, FY23, and FY24, respectively, while also achieving growth during the same period, which is a positive indicator.

Fund Flow Analysis (From FY 2022 to FY 2024)		
Inflow	₹ in Crore	% Split
CFO before WC	77	84%
Current Investments, Int income, Bank,Mutual Fund	15	16%
Total Inflow	93	100%

Major Inflow: 84% of the inflow comes from CFO before working capital, driven by core business activities. 16% of the inflow comes from company investments.

Outflow	₹ in Crore	% Split
Working Capital	-45	48%
Tax and oci	-18	20%
Net Fixed Asset Purchase	-21	23%
Dividend Paid	-3	3%
other CFI outflow	0	0%
Cash	-5	5%
Total Outflow	-93	100%

Outflow: 48% for working capital requirements.20% for taxes.23% for purchasing new assets. So total: 91% of the outflow is for core business expenses.

Cash Position: 3% of outflow is cash paid out as dividend. 5% of outflow is parked as cash .

Advantages and Challenges:

Competitive Advantages:

1. **Lowest-Cost Producer:** Macpower CNC is the lowest-cost producer in the CNC machine tool industry in India. :
 - **Conservative Financial Management:** The company's debt-free policy keeps its interest costs low, unlike competitors with significant debt who are burdened with high-interest payments. This allows for greater profitability even with lower selling prices.
 - **Strategic Inventory Management:** maintains a large inventory of components, reducing reliance on just-in-time deliveries and mitigating supply chain disruptions, which competitors may struggle with if faced with component shortages.
 - **Focused Product Strategy:** focused on high-value machine models like the VTX series, achieving high sales value from value added with help of Nexa wing. This strategy allows for efficient production and economies of scale. Competitors focusing on a wider, more complex product range from the start may have higher production costs and lower volumes.
2. **Debt-Free Operations:** This provides several benefits that competitors heavily reliant on debt financing may find hard to replicate:
 - **Agility and Flexibility:** Company can quickly adapt to market changes and seize opportunities without being constrained by debt covenants. This is crucial in the capital-intensive CNC machine industry, where rapid shifts in technology or demand can occur.
 - **Higher Profitability:** The absence of interest expenses translates into higher profit margins, even with competitive pricing. This allows for reinvestment in growth initiatives.
3. **Strong Working Capital Management:**
 - **Cash-Based Sales:** The company primarily operates on a cash-on-delivery model, minimizing credit risk and ensuring a healthy cash flow. This contrasts with competitors offering longer credit terms, potentially exposing them to bad debts and hindering their cash flow.
 - **Strategic Use of Internal Accruals and Investments:** Limited funds its working capital needs through internal accruals and investment income, minimizing reliance on external financing and its associated costs. This disciplined approach is not easily replicable by companies with weaker financial performance or more aggressive expansion strategies.

4. **Diverse Product Portfolio:** Offering 325+ models across 27 product segments and 315+ variants caters to a broad range of customer needs. This expansive product range:

- **Reduces Reliance on Single Markets:** company is less vulnerable to downturns in specific industries. Competitors with a narrower focus may face greater challenges if demand in their key sectors weakens.
- **Attracts a Wider Customer Base:** The company can serve customers of various sizes and across different industries. This diversification makes it more resilient to economic fluctuations.

Challenges:

1. **Competition From Established International Players:** The CNC machine tool industry is dominated by global players with vast resources.

- **Technological Edge:** Competitors may offer more advanced or specialized machines, giving them a competitive advantage. To counter this, Macpower has invested in R&D in Bangalore, but continuous innovation is crucial.
- **Brand Recognition:** International brands often enjoy greater recognition and trust in certain markets, which can make it challenging for Macpower to establish a foothold in those regions.

2. **Dependence on the Indian Market:** While the Indian market offers growth opportunities, it also carries risks.

- **Economic Vulnerability:** Macpower's heavy reliance on the Indian economy makes it sensitive to economic slowdowns. Expanding into international markets could mitigate this risk but would require substantial investment.
- **Policy Fluctuations:** Changes in government policies or reliance on tenders for revenue can add uncertainty to the business landscape.

3. **Supply Chain Volatility:** Despite strong inventory management, Macpower remains exposed to global supply chain disruptions.

- **Imported Components:** The company depends on imported parts, making it vulnerable to geopolitical instability, currency fluctuations, and logistical challenges. Competitors with localized supply chains are less susceptible to these issues.
- **Component Competition:** As demand for CNC machines rises in India, competition for essential components will increase, further straining supply chains.

4. **Skilled Labor Acquisition and Retention:** CNC machine manufacturing requires a highly skilled workforce.

- **Talent Competition:** Attracting and retaining top talent, including engineers and service personnel, is critical to Macpower's success. Offering competitive compensation packages may impact profitability.
- **Training Costs:** Continuous investment in workforce training and development is essential to keep pace with technological advancements and maintain competitiveness.

Macpower’s Team:



Mr. Rupesh Mehta Promoter, Chairman & Managing Director

Rupesh Mehta has an experience of more than 28 years in the Machine Tool Industry. He holds a degree in Bachelor of Commerce from Saurashtra University. He looks after all the corporate decision and is responsible for the entire business operation of the company.

Major landmarks of his journey:

Executive Director – Indian Machine Tools Manufacturers Association

Former President – Rajkot Machine Tool Association

Former Treasurer – Rajkot Chamber of Commerce

Former Director – Rajkot Engineering Association



Mr. Nikesh Mehta: Promoter, Whole-Time Director & CEO

Nikesh Mehta has an experience of around 17 years in the Machine Tool Industry. Nikesh Mehta holds a degree in Bachelors of Commerce from Saurashtra University. Presently looking after Sales & Service related activities to streamline them to grow market share of company in machine tool industry. Earlier His scope of work included looking after the Machine Shop, Application Department, Purchase department & Production related activities of the company

Name of Director	Date of Birth	Date of Appointment	Education Qualification	Expertise in Specific Functional Area	Disclosure of Relationship	Committees/Positions	Shareholding
Mr. Rupesh J. Mehta	23/10/1968	31/12/2003 (MD from 17/11/2017)	B.Com	With 26 years of experience in the machine tool industry, he has driven new opportunities and added significant value to the compan	Mr. Nikesh J. Mehta, Whole-time Director and CEO, is the brother of Mr. Rupesh J. Mehta, and Mrs. Riya R. Mehta, Women Director, is his wife.	Member of CSR, Stakeholders Committee, Audit Committee	31.52%
Nikesh J. Mehta	27/12/1978	31/12/2003 (WTD from 17/11/2017)	B.Com	He has 15+ years of experience in the machine tools industry and manages the Machine Shop, Application, and Purchase departments.	Mr. Rupesh J. Mehta, Chairman & Managing Director, is the brother of Mr. Nikesh J. Mehta, and Mrs. Riya R. Mehta, Non-Executive Director, is his sister-in-law.	Member of CSR, Stakeholders Committee	8.61%
Mrs. Riyaben R. Mehta	25-05-1974	01-04-2004	12th Commerce	has 16+ years of experience in Human Resource Management and is involved in the company's HR activities.	Mr. Rupesh J. Mehta, Chairman & Managing Director of the Company (Husband)	Human Resource Management	18.14%
Maulik R. Mokariya	03/11/1988	17/11/2017	BCA & MSc in Financial Management	Finance, Operations, Management	None	-	NIL
Rajubhai R. Bhanderi	09/10/1964	17/11/2017	SSC	Engineering and Commercial Field	None	Chairman of CSR, Stakeholders Committee, Audit	NIL
Deven J. Doshi	27/10/1966	17/11/2017	SYB.Com	Financial system and stock market	None	Member of Nomination & Audit Committee	0.03% (held jointly with others)

Forensic Analysis:

Particulars	FY 22	FY 23	FY 24	cumulative	Oberservation
CFO Before Tax/ EBITDA	-6%	45%	70%	43%	On a cumulative basis, CFO BT/EBITDA at 43% is low but is improving year by year. In the future, if accrual earnings do not result in real cash, it could be due to working capital leakage.
D/E	0.00	0.00	0.00		
Interest Coverage Ratio	118.07	73.76	124.67		No suspicious activity observed here. The company's D/E is negligible, and it has a strong interest coverage and debt service coverage ratio, indicating solid capability in terms of debt repayment.
Debt Service Coverage Ratio	106	21	34		
FCFF	3	-2	6		Company shown the healthy FCFF which is good as core business is also growing
FCFF as % of Revenue	2%	-1%	2%		Trend it is in line

Particulars	FY 22	FY 23	FY 24	Oberservation
Trade Receivables	6	13	22	Both the trend of trade receivables as a % of revenue and days of receivables on working capital are in an uptrend. This could be a negative sign, but in the past, the company has not been involved in any fraudulent write-offs.
Trade Receivables as % of Revenue	3%	6%	9%	
Days of Receivables	11	23	33	
Inventories	76	71	90	Inventory levels and days of inventory are in line, and no fraud related to inventory levels has been observed in the past.
Inventories as % of Revenue	40%	35%	38%	
Day of Inventory	145	128	137	

Particulars	FY 22	FY 23	FY 24	Oberservation
Depreciation and amortisation expenses	2.79	3.3657	4.1357	No suspicion observed. In my observation, Macpower CNC Ltd is adhering to the guidelines of the Companies Act 2014 regarding the useful life of assets.
Net Block	37	40	43	
Dep. Rate in %	8%	8%	10%	

Particulars	FY 22	FY 23	FY 24	Oberservation
EMPLOYEE BENEFIT EXPENSES (₹ in Crore)	18	21	23	
Change in YOY (%)		17%	12%	
Emp Expenses as % of Revnue	9%	10%	10%	Employee expenses are in an uptrend, and as a percentage of revenue, they remain in line.
Number of Employee	686	635	850	In growing company and they loose their 7% team this could be redflag as company might have hard time to keep talent in house and in this much of compititive industry it is very important In a growing
Change in YOY (%)		-7%	34%	
EMP Expenses/ Number of Emp (₹ in Lakhs)	2.56	3.25	2.70	
Change in YOY (%)		27%	-17%	

Statutory Auditor		M/s. S. C. Makhecha & Associates		
The statutory auditors of Macpower CNC, M/s. S.C. Makhecha & Associates, Chartered Accountants, have consistently issued unqualified opinions on the company's standalone financial statements for the fiscal years 2021-22, 2022-23, and 2023-24. This indicates that the auditors found the financial statements to be free from material misstatements and to fairly present the company's financial position.				
Auditors Remuneration (₹ in Lakhs)		FY 2022	FY 2023	FY 24
Statutory Audit Fees		3	3	6

Name of Director/KMP	Designation	DIN/PAN	FY 22 Salary (₹ in Lakh)	FY 23 Salary (₹ in Lakh)	FY 24 Salary (₹ in Lakh)
Profit After Tax (₹ in Lakhs)			1283	1289.5	2425.2
Rupesh J. Mehta	Chairman & Managing Director	1474523	52	36	36
Rupesh Salary as % of PAT			4%	3%	1%
Nikesh J. Mehta	Whole-Time Director(WTD) & CEO	1603779	44	24	20
Nikesh J. Mehta Salary as % of PAT			3%	2%	1%
Riya R. Mehta	Non-executive & Woman Director	1603726	Not applicable as no Remuneration		
Mr. Maulik R. Mokariya	Independent Directors	5310868	0	0	0
Mr. Rajubhai R. Bhanderi	Independent Directors	7986563	0	0	0
Mr. Deven J. Doshi	Independent Directors	7994505	0	0	0
Rajnikant M. Raja	CFO	ADEPR7853H	12.70	9.83	11.55
Kishor Kikani (Appointed on: 01.01.2022)	CS	AVXPK4815H		3.88	7.23
Sagar R. Rajyaguru (Resigned on 31-12-2021)	CS				

The **Companies Act, 2013** limits the total remuneration that a company can pay its directors to **11% of the company's net profits** for a financial year. This regulation ensures that high director payouts do not negatively impact the company’s profitability. Both **Rupesh Mehta and Nikesh Mehta** have adhered to this limit, which is a positive indicator.

Additionally, **Mrs. Riya Mehta**, the wife of Mr. Rupesh Mehta, is a director but not an employee of the company and does not receive a salary, which reflects **good corporate governance** practices.

Apart from **Maulik R. Mokariya**, the other two directors do not hold directorships in other companies. The company also does not compensate its **independent directors**, including sitting fees. Furthermore, **Deven J. Doshi and Rajubhai R. Bhanderi** do not appear to have strong educational backgrounds. Collectively, these factors may raise some **critical questions regarding the board’s composition and expertise**.

Related Party Transactions					
Company Name	Relation	Transaction Type	FY 2022 (₹ in Lakh)	FY 2023 (₹ in Lakh)	FY 2024 (₹ in Lakh)
Modern Machine Tools	Proprietorship of Mrs. Raxaben Jagdish Mehta,Relative of Directors	Purchase [Repair, Parts and Tools/Machinery]	35.44	13.89	4
		Sale[Repair, Parts and Tools/Machinery]	0	1.57	24
Macpower Industries	Proprietorship of Mrs. Rupesh J. Mehta,Directors	Purchase [Repair, Parts and Tools/Machinery]	14.13	9.95	25
		Sale[Repair, Parts and Tools/Machinery]	0	0.36	0

The company has **related parties** operating within the **same line of business as Macpower CNC Ltd.** The types of transactions with these related parties include both **purchases and sales of machines and parts**. Although the **transaction amounts are relatively small**, but it may still raise **questions regarding potential conflicts of interest** and the transparency of these dealings.

Peer Analysis:

International Player: Market Share (2022)

Yamazaki Mazak Corporation

Market Share: 5.7%

FY22 Revenue: Approximately USD 4.3 billion

Market Cap: Not publicly listed (Private Company)

Profile: Founded in 1919 in Japan, Yamazaki Mazak Corporation is a global leader in CNC machine manufacturing, focusing on advanced technology in multi-tasking and automation. The company’s offerings include machining centers, laser processing machines, and a range of cutting-edge automation solutions designed to streamline production efficiency.

DMG Mori Co., Ltd.

Market Share: 5.1%

FY22 Revenue: USD 3.3 billion

Market Cap: USD 3.6 billion

Profile: DMG Mori is a Germany-Japan joint venture and a prominent name in the CNC market. Known for its extensive lineup of precision machinery, DMG Mori specializes in high-speed milling, multi-axis turning, and digitalized manufacturing solutions. The company emphasizes Industry 4.0 and is at the forefront of integrating IoT and AI into CNC machines for enhanced automation and data-driven operations.

HAAS Automation, Inc.

Market Share: 4.4%

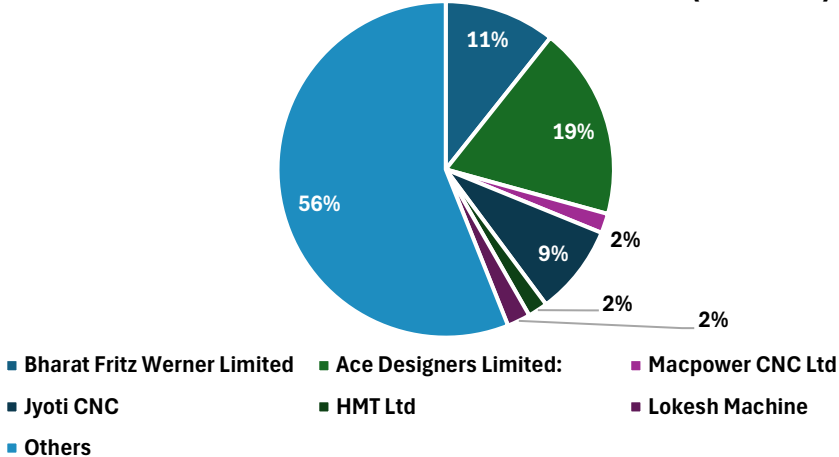
FY22 Revenue: USD 1.2 billion

Market Cap: Not publicly listed (Private Company)

Profile: Based in the United States, HAAS Automation is one of the largest American CNC machine tool manufacturers, known for its affordability and reliability. Founded in 1983, HAAS has a broad range of CNC machines, including vertical and horizontal machining centers, CNC lathes, and rotary tables. The company’s consistent focus on simplicity and cost-effectiveness has made its machines popular, particularly in small and mid-sized manufacturing setups.

Indian Player: Market Share Data: (2023)

CNC Machine Market Share in % (FY 2023)



Bharat Fritz Werner Limited is a leading producer of machine tools in India and is part of the Kolkata-based Kothari Group. The company manufactures CNC (Computer Numerical Control) milling and turning machines, primarily supplying products to customers in the auto sector. The company has three subsidiaries.

One subsidiary, M2NXT Solutions Private Limited, incorporated in 2019, is a digital cyber automation solutions provider, offering solutions to connect various processes for advanced manufacturing. BFW Asset Management GmbH is involved in precision manufacturing and machining. In FY2024, the company incorporated a 100% subsidiary, BFW Europe SAS, in France. BFW’s manufacturing facilities are located in Peenya, Bangalore, and Hosur, Tamil Nadu.

Bharat Fritz Werner Limited			
Consolidated (₹ in Crore)	FY 2022	FY2023	FY2024
Revenue	792	1145.1	1362.7
EBITDA	26.1	40.1	83.1
EBITDA Margin	3.30%	3.50%	6.10%
PAT	10.2	15.7	41.7
PAT Margin	1.29%	1.37%	3.06%
Interest coverage	4.8	4.5	4.3

Incorporated in 1979, **Ace Designers Limited (ADL)** was founded by three technocrat promoters, Mr. Shrinivas G. Shirgurkar, Mr. B. Machado, and Mr. A.V. Sathe, to offer technical expertise in machine tool design. The company now specializes in CNC lathes, including both standard and customized models for industries such as automotive, engineering, and defense.

In FY2023, Ace Manufacturing Systems Limited (AMSL), previously an associate of ADL, merged into ADL as of April 1, 2022. Established in 1994, AMSL manufactures CNC lathes, milling, and grinding machines, with a plant in Bengaluru’s Peenya industrial area and a production capacity of around 3,500 machines annually.

Ace Designers Limited:			
Consolidated (₹ in Crore)	FY2022	FY2023	H1 FY2024
Revenue	983.2	1,991.50	971.7
EBITDA	46.2	135.4	88.4
EBITDA Margin	4.7%	6.8%	9.1%
PAT	13.1	135.5	52.8
PAT Margin	1.3%	6.8%	5.4%
Interest coverage (times)	4.2	11.4	16.7

Listed Players:

Jyoti CNC Automation Limited:

Jyoti CNC Automation Limited is a prominent CNC machine manufacturer in India, known for its diverse product offerings that cater to varied industrial needs. The company provides over 200 variants within its product range, including **CNC Turning Centers, CNC Turn Mill Centers, Vertical Machining Centers (VMCs), Horizontal Machining Centers (HMCs)**, and advanced **5-axis and multi-axis machines**. These machines support complex machining requirements and serve industries ranging from automotive to aerospace, offering flexibility in design and capability for diverse applications.

A pioneer in adopting Industry 4.0 technology, Jyoti CNC has integrated advanced solutions like **"7th Sense"** for performance enhancement and **"PreciProtect,"** an AI-based collision prevention system, across its machine lineup. With vertically integrated manufacturing facilities and an in-house R&D center, Jyoti CNC emphasizes rapid innovation and high-quality customization. This vertical integration not only supports streamlined production but also enables the company to adapt swiftly to technological advances, ensuring that its machines remain at the forefront of CNC manufacturing.

Through its acquisition of Huron Graffenstaden SAS, Jyoti CNC has bolstered its expertise, especially in 5-axis machining, extending its reach into global markets such as Asia, Europe, the Middle East, and the Americas. This acquisition, combined with an expansive dealer network and focus on customer service, reinforces Jyoti CNC’s status as a trusted name in the precision engineering sector worldwide.

Peer [FY2024 ₹ in Cr]	Macpower CNC	Jyoti CNC Automation	Lokesh Machines
Sales (Rs cr)	241	1338	293
3Y Revenue CAGR	29%	36%	25%
EBITDA (Rs cr)	35	301	40
EBITDA Margin (%)	15%	22%	14%
PAT (Rs cr)	24	151	10
PAT Margin (%)	10%	14.41%	4.78%
3Y PAT CAGR (%)	60%	58%	51%
Enterprise Value (Rs cr)	1271	25695	762
PE(x)	48.9	120	46.2
EV/EBITDA (x)	31.8	67.7	17.2
RoE (%)	20.17%	11.07%	8.00%
RoCE (%)	30%	21%	12%
D/E	0.00	0.22	0.63
Interest coverage	125	3.04	2.91

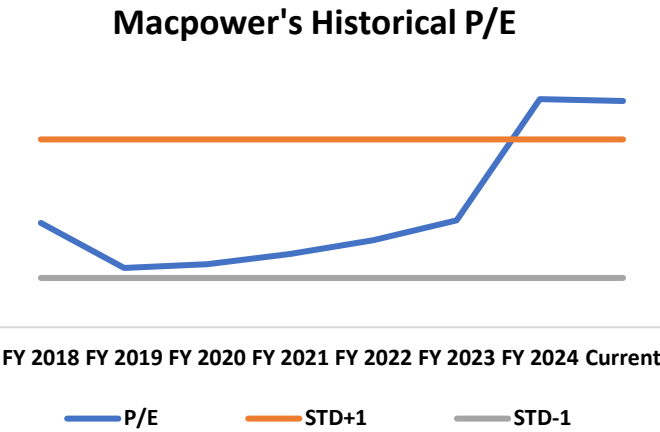
Lokesh Machines Limited (LML):

Lokesh Machines Limited (LML) is a leading manufacturer of CNC machines and auto components, serving sectors like automotive, agriculture, aerospace, defense, medical devices, and railways. In its machine tools division, LML offers **General Purpose Machines (GPMs)**, including CNC Turning Centers, Vertical and Horizontal Machining Centers, Drill and Tap Centers, Vertical Turning Lathes, and multi-axis milling and turning machines. LML also specializes in **Special Purpose Machines (SPMs)** tailored for complex, industry-specific applications.

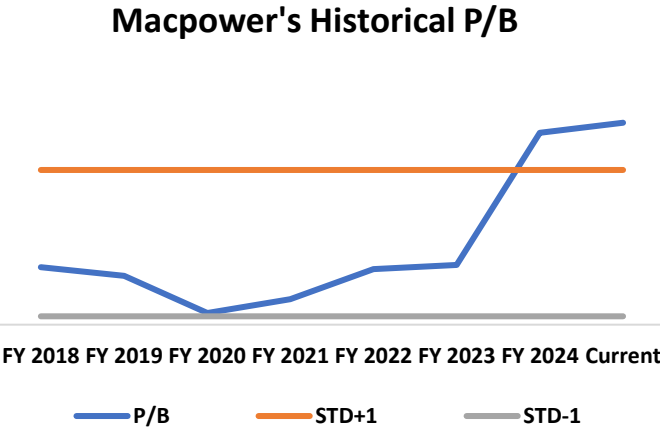
Alongside its machine offerings, LML provides **automation solutions** such as Gantry, Robotic, and 4th Axis Automation, with customizable options that enhance productivity and efficiency. LML’s strong global presence includes exports to Japan, Germany, the Netherlands, Italy, Turkey, Russia, and the USA, backed by a dealer network spanning South Africa, Russia, Italy, Turkey, and Bahrain. This global reach solidifies LML as a versatile and trusted CNC technology provider, serving an increasingly automated, precision-focused industry.

Peers Valuation:

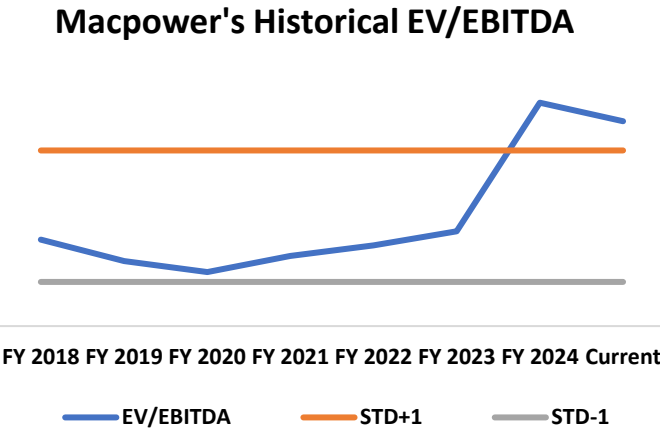
P/E			
Year	Macpower CNC	Jyoti CNC Automation	Lokesh Machines
FY 2018	20.89		20.74
FY 2019	11.87		11.55
FY 2020	12.6		-6.21
FY 2021	14.68		14.05
FY 2022	17.44		22.18
FY 2023	21.41		20.37
FY 2024	45.66	123.9	49.49
Current	45.3	105	46.2



P/B			
Year	Macpower CNC	Jyoti CNC Automation	Lokesh Machines
FY 2018	2.76		0.75
FY 2019	2.34		0.56
FY 2020	0.56		0.22
FY 2021	1.22		0.39
FY 2022	2.67		0.89
FY 2023	2.87		1.28
FY 2024	9.21	13.72	3.72
Current	9.7	16.6	3.49



EV/EBITDA			
Year	Macpower CNC	Jyoti CNC Automation	Lokesh Machines
FY 2018	12.13		3.57
FY 2019	9.09		2.61
FY 2020	7.57		2.59
FY 2021	9.84		2.25
FY 2022	11.3		4.44
FY 2023	13.26		7.02
FY 2024	31.3	62.17	17.33
Current	28.7	59	17.2



Macpower’s Valuation:

DCF: Perpetual Growth Method

WACC Calculations				
Risk Free Rate (Rf)	6.78%		Median D/E	0
Expected Market Return (Rm)	11%		Wd	0.00%
Equity Risk Premium (Rm-Rf)	4%		We	100.00%
Beta	0.93			
Cost of Equity (KE)	11%	0%	WACC	11%

Details			
Transaction Date	25-10-2024	CMP	1117.65
Terminal ROIC	25%	Share Outs	10004160
Perpetual Growth	3%		
Re-investment Rate	12%		
Terminal Value	2778		

Particulars	25-10-2024	31-03-2025	31-03-2026	31-03-2027	31-03-2028	31-03-2029	31-03-2030	31-03-2031	31-03-2032	31-03-2033	31-03-2034	31-03-2034
NOPAT		40	53	66	82	103	128	160	189	217	239	
NOPAT Growth Rate		70%	35%	23%	25%	25%	25%	25%	18%	15%	10%	
ROIC		28%	29%	30%	30%	30%	30%	29%	28%	25%	25%	
Conversion Rate		1.13	1.12	1.12	1.12	1.12	1.12	1.12	1.12	1.12	1.12	
CFO before WCand after Tax		45	60	73	92	115	144	180	212	244	269	
Re-Investment		253%	121%	77%	83%	83%	83%	86%	64%	60%	40%	
CAPEX/Re-Investment		-32	-47	-43	-68	-85	-107	-138	-122	-130	-96	
FCFF	0	13	13	30	24	30	37	42	91	114	173	2778
Transactional FCFF	0	13	13	30	24	30	37	42	91	114	173	2778

Enterprise Value	1,337
Cash	9
Debt	0
Equity Value	1,346
Fair Value	1346

Rate of Return	
Current Price	1,118
Target Price	1,346
Potential Return	20%

sensitivity analysis

Perpetual Growth Rate						
WACC		1%	2%	3%	4%	5%
	7%	2,516	2,880	3,432	4,376	6,363
	9%	1,667	1,815	2,012	2,289	2,710
	11%	1,189	1,259	1,346	1,458	1,606
	13%	891	927	970	1,022	1,087
	15%	691	711	734	760	792

Reverse DCF:

Date		2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Nopat	23	40	53	66	82	103	128	160	189	217	239
Nopat Growth		70%	35%	23%	25%	25%	25%	25%	18%	15%	10%
CFO before WCC and After Tax paid		45	60	73	92	115	144	180	212	244	269
ROIC		28%	29%	30%	30%	30%	30%	29%	28%	25%	25%
Re-investment Rate		253%	121%	77%	83%	83%	83%	86%	64%	60%	40%
Re-investment Amount		32	47	43	68	85	107	138	122	130	96
Free cash flow to Firm		7	6	23	14	17	21	22	68	87	143
PV of free cash flow		7	6	18	10	11	13	12	33	38	57
Cumulative PV of free cash flow		7	13	32	42	53	66	78	111	149	206
PV of residual value		523	636	706	796	898	1,013	1,143	1,217	1,263	1,254
Shareholder value		530	650	737	838	951	1,079	1,221	1,328	1,412	1,460
Shareholder value per share		530	649	737	837	951	1078	1220	1327	1412	1459

Market-Implied Forecast Years	5
Other Value Determinants:	
WACC	11%
Inflation	3%
Market Valuation Metrics:	
P/E	47.9
Share price	1117.7
Shares Outstanding	1.0
Market Value of Equity	1118.1

5 Y Exit P/E:

	2028	2029	2030	2031	2032	2033	2034
EBITDA	119	149	187	233	275	317	348
Conversion	92%	92%	92%	92%	92%	92%	92%
EBIT	110	137	171	214	253	291	320
Tax	25%	25%	25%	25%	25%	25%	25%
PAT	81						
NOPAT	82	103	128	160	189	217	239
NOPAT Growth	25%	25%	25%	25%	18%	15%	10%
Reinvestment Rate %	83%	83%	83%	86%	64%	60%	40%
Reinvestment Amount	68	85	107	138	122	130	96
Invested Capital	331	400	485	592	730	851	982
ROIC	30%	30%	30%	29%	28%	25%	25%

Implied PE:

		2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
EBITDA		35	57	77	94	119	149	187	233	275	317	348
Conversion		88%	93%	93%	93%	92%	92%	92%	92%	92%	92%	92%
EBIT		31	53	71	88	110	137	171	214	253	291	320
Tax		25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%
PAT		24	41	54	67							
NOPAT		23	40	53	66	82	103	128	160	189	217	239
NOPAT Growth		81%	70%	35%	23%	25%	25%	25%	25%	18%	15%	10%
Reinvestment Rate %		402%	253%	121%	77%	83%	83%	83%	86%	64%	60%	40%
Reinvestment Amount		94	32	47	43	68	85	107	138	122	130	96
Invested Capital		116	209	241	288	331	400	485	592	730	851	982
ROIC		20%	28%	29%	30%	30%	30%	30%	29%	28%	25%	25%

EVC		9	5	8	8	13	16	21	25	21	19	14	
Value of EVC		90	50	71	61	89	101	114	126	94	75	50	921

WACC	11%
Terminal Growth rate	3%
Steady State Value	307.9
Modified Steady State PE Multiple	12.7
Future Value Creation	921
Future Value PE Multiple	39.48
Enterprise Value	1,229
Debt	0
Cash	9
Equity Value	1,238
Implied PE	51.05

5 Y Exit P/E:

	2028	2029	2030	2031	2032	2033	2034
EBITDA	119	149	187	233	275	317	348
Conversion	92%	92%	92%	92%	92%	92%	92%
EBIT	110	137	171	214	253	291	320
Tax	25%	25%	25%	25%	25%	25%	25%
PAT	81						
NOPAT	82	103	128	160	189	217	239
NOPAT Growth	25%	25%	25%	25%	18%	15%	10%
Reinvestment Rate %	83%	83%	83%	86%	64%	60%	40%
Reinvestment Amount	68	85	107	138	122	130	96
Invested Capital	331	400	485	592	730	851	982
ROIC	30%	30%	30%	29%	28%	25%	25%

WACC	11%
Terminal Growth rate	3%
Steady State Value	1,353
Modified Steady State PE Multiple	16.71
Future Value Creation	935
Future Value PE Multiple	9.12
Enterprise Value	2,288
Debt	0
Cash	9
Equity Value	2,298
Implied PE	28.37

EVC	16	21	25	21	19	14	
Value of EVC	168	190	210	158	126	83	935

Exit P/E sensitivity

No. of share	10004160		TTM	2025 E	2026 E	2027 E
EPS TTM	26.22	Future EPS	26.22	35.76	48.77	66.51
Last Forecasted year EPS	66.51	Inflow				1886.88
Entry P/E	42.63	Gain				769.23
CMP	1117.7	Total gain (%)				69%
Exit P/E	28.4	CAGR (%)				19%
EPS Growth rate	36.4%					

P/E	EPS Growth					
		28%	32%	36%	40%	44%
	24	6%	9%	13%	16%	19%
	26	9%	12%	16%	19%	22%
	28	11%	15%	19%	22%	25%
	30	14%	17%	21%	25%	28%
	32	16%	20%	24%	27%	31%

Macpower CNC: Financial Projection Model

Profit & Loss Statement (₹ in Crore)	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
Revenue from Operation	190	202	241	315	419	508
COGS	133	141	163	198	264	320
Gross Profit	57	61	78	116	155	188
GPM	30%	30%	32%	37%	37%	37%
Expenses						
EMPLOYEE BENEFIT EXPENSES	18	21	23	30	40	48
OTHER EXPENSES	19	20	20	29	38	45
EBITDA	21	21	35	57	77	94
Depreciation and amortisation expenses	3	3	4	4	5	7
EBIT	18	17	31	53	71	88
FINANCE COST	0	0	0	0	0	0
Other Income	1	0	1	1	1	1
EBT	18	17	32	54	73	89
Effective Tax Rate (%)	30%	26%	25%	25%	25%	25%
TAX EXPENSES	6	4	8	14	18	22
Profit After Tax	13	13	24	41	54	67

Common Size P&L	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
Revenue from Operation	100%	100%	100%	100%	100%	100%
COGS	70%	70%	68%	63%	63%	63%
Gross Profit	30%	30%	32%	37%	37%	37%
Expenses	0%	0%	0%	0%	0%	0%
EMPLOYEE BENEFIT EXPENSES	9%	10%	10%	10%	10%	10%
OTHER EXPENSES	10%	10%	8%	9%	9%	9%
EBITDA	11%	10%	15%	18%	18%	19%
Depreciation and amortisation expenses	1%	2%	2%	1%	1%	1%
EBIT	9%	9%	13%	17%	17%	17%
FINANCE COST	0%	0%	0%	0%	0%	0%
Other Income	0%	0%	1%	0%	0%	0%
EBT	10%	9%	13%	17%	17%	18%
TAX EXPENSES	3%	2%	3%	4%	4%	4%
Profit After Tax	7%	6%	10%	13%	13%	13%

Macpower CNC: Financial Projection Model

Balance sheet (₹ in Crore)	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
ASSETS						
Non-current assets	43	44	51	67	81	95
Property, Plant and Equipment	40	43	47	63	77	91
Right to use asset	0	0	0	0	0	0
Capital work-in-progress	0	0	3	3	3	3
Other Intangible Assets	0	0	0	0	0	0
Other Financial Assets	0	0	0	0	0	0
Deferred Tax Assets	0	0	0	0	0	0
Other non-current assets	3	1	1	1	1	1
Current assets	100	95	130	167	225	294
Inventories	76	71	90	118	157	191
Financial Assets	0	0	0	0	0	0
Investments	5	5	5	5	5	5
Trade Receivables	6	13	22	19	26	31
Cash and cash equivalents	7	4	9	22	34	65
Other Bank Balance	2	1	1	1	1	1
Loans & Advances	1	1	0	0	0	0
Current Tax Assets (Net)	0	0	0	0	0	0
Other current assets	5	1	1	1	1	1
Total Assets	143	139	180	234	307	389
EQUITY AND LIABILITIES						
EQUITY	85	97	119	160	214	280
Equity Share Capital	10	10	10	10	10	10
Other Equity	75	87	109	150	204	270
LIABILITIES						
Non-current liabilities	2	3	3	3	3	3
Financial Liabilities						
Borrowings	0	0	0	0	0	0
Lease Liabilities	0	0	0	0	0	0
Other financial liabilities	0	0	0	0	0	0
Provisions	1	0	1	1	1	1
Deferred Tax Liability (NET)	1	2	2	2	2	2
Current liabilities	56	40	58	71	89	105
Financial Liabilities						
Borrowings	0	0	0	0	0	0
Lease Liabilities	0	0	0	0	0	0
Trade Payables	41	28	43	56	75	91
Other Financial Liabilities						
Other current liabilities	9	10	10	10	10	10
Provisions	2	2	2	2	2	2
Current Tax Liability	4	0	2	2	2	2
Total Equity and Liabilities	143	139	180	234	307	389

Macpower CNC: Financial Projection Model

Balance sheet Common Size	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
ASSETS						
Non-current assets	30%	32%	28%	29%	27%	24%
Property, Plant and Equipment	28%	31%	26%	27%	25%	23%
Right to use asset	0%	0%	0%	0%	0%	0%
Capital work-in-progress	0%	0%	2%	1%	1%	1%
Other Intangible Assets	0%	0%	0%	0%	0%	0%
Other Financial Assets	0%	0%	0%	0%	0%	0%
Deferred Tax Assets	0%	0%	0%	0%	0%	0%
Other non-current assets	2%	0%	0%	0%	0%	0%
Current assets	70%	68%	72%	71%	73%	76%
Inventories	53%	51%	50%	50%	51%	49%
Financial Assets	0%	0%	0%	0%	0%	0%
Investments	3%	4%	3%	2%	2%	1%
Trade Receivables	4%	9%	12%	8%	8%	8%
Cash and cash equivalents	5%	3%	5%	9%	11%	17%
Other Bank Balance	1%	1%	1%	1%	0%	0%
Loans & Advances	0%	0%	0%	0%	0%	0%
Current Tax Assets (Net)	0%	0%	0%	0%	0%	0%
Other current assets	4%	1%	1%	0%	0%	0%
Total Assets	100%	100%	100%	100%	100%	100%
EQUITY AND LIABILITIES						
EQUITY	59%	69%	66%	68%	70%	72%
Equity Share Capital	7%	7%	6%	4%	3%	3%
Other Equity	52%	62%	61%	64%	67%	69%
LIABILITIES						
Non-current liabilities	2%	2%	2%	1%	1%	1%
Financial Liabilities	0%	0%	0%	0%	0%	0%
Borrowings	0%	0%	0%	0%	0%	0%
Lease Liabilities	0%	0%	0%	0%	0%	0%
Other financial liabilities	0%	0%	0%	0%	0%	0%
Provisions	1%	0%	0%	0%	0%	0%
Deferred Tax Liability (NET)	1%	1%	1%	1%	1%	1%
Current liabilities	39%	29%	32%	30%	29%	27%
Financial Liabilities	0%	0%	0%	0%	0%	0%
Borrowings	0%	0%	0%	0%	0%	0%
Lease Liabilities	0%	0%	0%	0%	0%	0%
Trade Payables	29%	20%	24%	24%	24%	23%
Other Financial Liabilities	0%	0%	0%	0%	0%	0%
Other current liabilities	6%	7%	6%	4%	3%	3%
Provisions	1%	2%	1%	1%	1%	1%
Current Tax Liability	3%	0%	1%	1%	1%	0%
Total Equity and Liabilities	100%	100%	100%	100%	100%	100%



Macpower CNC: Financial Projection Model

Cash Flow Statement (₹ in Crore)						
A. Cash flow from operating activities	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
Net profit before taxation	18	17	32	54	73	89
Adjustment for,						
Depreciation & Impairment	3	3	4	4	5	7
Finance Cost	0	0	0	0	0	0
Other Item	0	0	-1	0	0	0
CFO before working capital changes	21	21	35	58	78	96
Movements in Net working capital:	-22	-12	-11	-12	-27	-23
CFO Before Tax	-1	9	25	46	51	73
Tax and oci	-6	-4	-8	-14	-18	-22
NET CASH FROM OPERATING ACTIVITIES	-7	5	17	33	33	50
B. Cash flow from investing activities						
Increase in Current Investments	15	0	0			
Purchase of fixed assets	-5	-7	-11	-20	-20	-20
Sale proceeds of fixed assets	1	0	0			
(Increase)/Decrease in Other Bank Balances	-1	0	0			
Short Term Capital Gain (On Mutual Fund)	0	0	0			
Interest Income	0	0	1			
NET CASH FLOW FROM INVESTING ACTIVITIES	10	-7	-9	-20	-20	-20
C. Cash flow from financing activities						
Increase / (Decrease) in Lease Liabilites	0	0	0			
Increase /(Decrease) in Borrowing	0	0	0			
Dividend Paid	-1	-1	-2			
Tax on Dividend	0	0	0			
Finance Cost	0	0	0	0	0	0
NET CASH CLOW FROM FINANCING ACTIVITIES	-1	-1	-2	0	0	0
NET INCREASE IN CASH AND CASH EQUIVALENTS (A+B+C)	3	-3	5	12	13	30
Cach and cash equivalents at the beginning of the year	4	7	4	9	22	34
Cash and cash equivalents at the end of the year	7	4	9	22	34	65

Profitability Ratios	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E	CAGR (FY224 to FY27 E)
Revenue from Operation	190	202	241	315	419	508	28%
YOY Change in %		6%	19%	31%	33%	21%	
Gross Profit	57	61	78	116	155	188	34%
Gross Profit Margin	30%	30%	32%	37%	37%	37%	
EBITDA	21	21	35	57	77	94	39%
EBITDA Margin	11%	10%	15%	18%	18%	19%	
EBIT	18	17	31	53	71	88	41%
EBIT Margin	9%	9%	13%	17%	17%	17%	
NOPAT	12	13	23	40	53	66	41%
NOPAT Margin	7%	6%	10%	13%	13%	13%	
NET PROFIT	13	13	24	41	54	67	40%
NET PROFIT MARGIN	7%	6%	10%	13%	13%	13%	

Macpower CNC: Financial Projection Model

Du Pont ROE	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
ROE	15%	13%	20%	25%	25%	24%
Net profit margin	6.75%	6.39%	10.06%	12.87%	12.96%	13.09%
Asset Turnover	1.33	1.45	1.34	1.35	1.37	1.31
Financial Leverage	1.69	1.44	1.51	1.46	1.43	1.39
DU PONT ROA	8.96%	9.25%	13.46%	17.33%	17.71%	17.10%
Net profit margin	6.75%	6.39%	10.06%	12.87%	12.96%	13.09%
Asset Turnover	1.33	1.45	1.34	1.35	1.37	1.31

Capital Allocation Ratios	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
ROCE	15%	13%	20%	25%	25%	23%
NOPAT Margin	7%	6%	10%	13%	13%	13%
Sales/Capital Employed	2.24	2.08	2.02	1.97	1.95	1.81
ROIC	15%	13%	20%	28%	29%	30%

Leverage Ratios	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
D/E	0.00	0.00	0.00	0.00	0.00	0.00
Int Coverage Ratio	118.07	73.76	124.67	211.55	285.40	350.68

Liquidity Ratios	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
Current Ratio	1.66	2.30	2.19	2.32	2.49	2.77
Quick Ratio	0.31	0.54	0.63	0.65	0.73	0.96

	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
Total Asset Turnover	1.33	1.45	1.34	1.35	1.37	1.31
Fixed Asset Turnover	4.80	4.69	5.17	5.02	5.42	5.61

Working Capital	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E
Days of Payable	79	51	66	65	65	65
Days of Receivables	11	23	33	22	22	22
Day of Inventory	145	128	137	137	137	137
Cash Conversion Cycle	77	101	104	94	94	94

Accrual to Cash	FY 22	FY 23	FY 24	FY 25 E	FY 26 E	FY 27 E	Trend
CFO/ EBITDA	-6%	45%	70%	81%	67%	77%	
FCF	3	-2	6	13	13	30	

Disclaimer:

This report presents an analysis of **Macpower CNC Ltd.**, a listed entity, compiled by **Devarsh Shah, Equity Research Analyst**. I have conducted a thorough equity research report that includes an in-depth financial model and valuation analysis. My approach, indicates potential upside based on current knowledge, assumptions, and market data. However, the accuracy of this analysis cannot be guaranteed. Market conditions and company performance are subject to change, and projections may vary significantly. This report is intended solely for **educational purposes** and should not be regarded as financial advice or a recommendation to invest in this stock.

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Ending Note:

Thank you for taking the time to read my report. If you have any insights, ideas, or if you spot any inaccuracies, I'd appreciate your feedback. I'm happy to share the detailed financial model in Excel as well. Feel free to reach out via email or direct message me on Twitter, and I'll respond as promptly as possible. Once again, thank you for your interest!

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Thank You,
Devarsh Shah